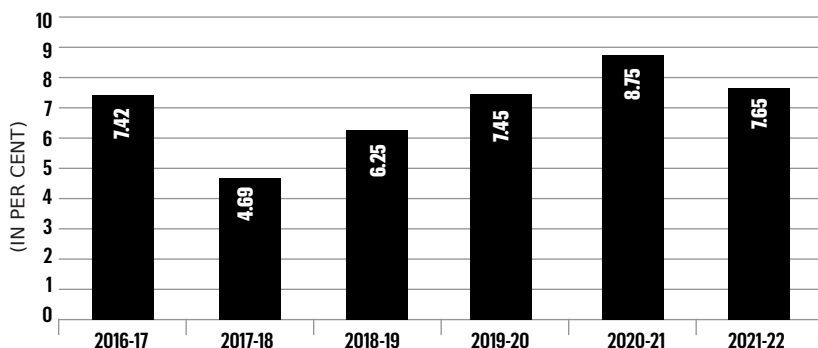


GET THEM JOBS

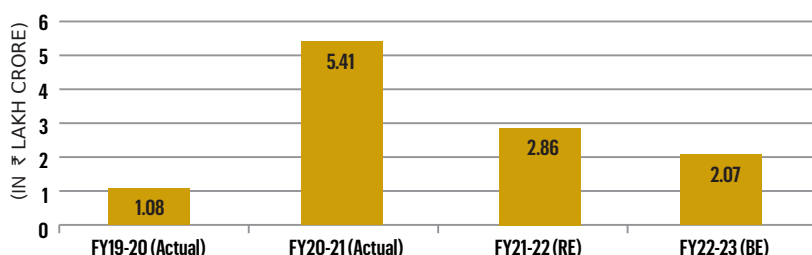
Unemployment needs to be addressed on a war footing



SOURCE CMIE ECONOMIC OUTLOOK

THE DEVIL IS IN THE...

...FY23 number, which will spike once the revised estimates are in



FIGURES ARE FOOD SUBSIDY AMOUNTS; **RE:** REVISED ESTIMATES; **BE:** BUDGET ESTIMATES; ALL OTHER FIGURES ARE ACTUALS; **SOURCE** UNION BUDGETS

ity development,” says Aditi Nayar, Chief Economist at ICRA Ratings. “We expect a double-digit hike in capex to ₹8.5-9 lakh crore. Given the relatively higher multiplier of such spending, this would play an important role in supporting investment demand and, thereby, growth.”

While the capex push has held up economic growth to a large extent, the fact is that the demand that is generated—for materials, jobs, etc.—is through government push, and not organic demand through industry expansion. “You have to get back to a revival of private investment if you want to see sustained growth in India,” says Ajay Chhibber, Senior Visiting Professor

at Indian Council for Research on International Economic Relations (ICRIER). “That can only happen with a reasonable current account deficit (CAD), if the fiscal consolidation is done. We cannot sustain a CAD of 3 per cent of GDP; the markets will not allow it because India will appear much too risky then.”

Explaining that private investments comprise both corporate and non-corporate (such as construction, real estate, etc.), he says non-corporate investments are likely to be driven by more public spending in infrastructure. As for corporate investments, as Nadir Godrej points out, enterprises invest when they reach capacity utili-

sation or see an opportunity, and they don’t need much encouragement from the government. “We just need simple laws, ease of doing business, and so on,” says the MD of Godrej Industries and Chairman of Godrej Agrovet, adding that while there has been some improvement in ease of doing business, more needs to be done.

PwC’s Banerjee is hopeful of private capex coming in in FY24, because corporates are deleveraged, and so have the capacity to invest. Plus, he feels that in Q1 of FY24, corporates will start investing because people will start talking about greater growth in FY25. “The gross fixed capital formation (GFCF, an indicator of investments in an economy) will continue to be boosted by the government next year also, and an addition delta will come in from the private sector capex,” he says. So, there is an increasing view that the government must bring in policies and incentives to attract more private capex in infrastructure. Deloitte’s Kumar says financial institutions like pension funds could be urged to put their corpus into infrastructure projects. “People can get better returns and with more assurance,” he says.

Regulatory challenges and procedural delays have made several private companies give up on infrastructure investments—even ongoing projects—over the years. Experts feel conscious and concrete action needs to be taken on these fronts to attract more private capital. Arindam Guha, Partner, Leader-Government & Public Services, Deloitte India, says the government needs to up the quantum of credit guarantees for infrastructure projects. “The only prominent credit guarantee mechanism is through the IIFCL (India Infrastructure Finance Company Limited). If you look at their performance in the last three-four years, it is not even in the thou-